

Consumer behavior (this week's core topic)

- Focus: how individuals make consumer choices under a budget constraint, and how their preferences determine individual demand for goods in a competitive market.
- Three building blocks of the theory: consumer preferences, budget constraints, and consumer choice (the constrained optimization of preferences subject to the budget).
- Two modeling approaches covered, each with its own strengths/weaknesses: the indifference-curve approach and the utility-function approach.
- Consumer preferences are assumed to be complete (any two bundles can be compared/ranked) and rational (consumers try to maximize satisfaction) — though the lecture flagged that real consumers don't always behave with full rationality.

Indifference curves and budget constraints

- An indifference curve shows all bundles of goods that give a consumer the same level of satisfaction (utility).
- Marginal rate of substitution (MRS): the rate at which a consumer is willing to trade one good for another while staying on the same indifference curve.
- Diminishing marginal rate of substitution: MRS falls as you move along a typical indifference curve — consumers become less willing to give up a good the less of it they have left.
- The budget line represents all combinations of two goods a consumer can afford given income and prices.
- A change in income shifts the budget line; a change in the price of one good rotates/pivots it around a fixed point (holding income and the other good's price constant).

Utility function approach

- Assigns numeric utility values to bundles of goods — useful when comparisons need to be made across many goods, or across individuals.
- Marginal utility: the additional satisfaction gained from consuming one more unit of a good.
- Diminishing marginal utility: each additional unit of a good adds less satisfaction than the one before (the donut example from class: the first donut is very satisfying, but satisfaction from each additional donut declines).
- Utility-maximizing choice: occurs where the ratio of marginal utilities across goods equals the ratio of their prices — i.e., marginal utility per dollar spent is equalized across all goods purchased.

Cost-of-living index vs. Consumer Price Index (CPI)

- Ideal cost-of-living index: measures the cost of buying a bundle of goods that delivers the same level of satisfaction/utility over time (adjusts for substitution as relative prices change).
- Consumer Price Index (CPI): by contrast, measures the cost of buying the same fixed bundle of goods over time, without adjusting for substitution — a commonly confused distinction that the lecture called out explicitly.

Homework / discussion assignment (consumer behavior unit)

- A worksheet-style homework with a series of numeric problems on consumer choice (using given prices and income to find optimal/utility-maximizing bundles).

- A discussion question (flagged as a meaningful point value): find and summarize a recent article related to consumer spending, cost-of-living adjustments, or a major purchase decision (e.g., a house, car, or major appliance).
- Summary should run about two to three paragraphs and include the article title and a link/citation.
- Respond substantively to classmates' posts — simple agreement or restating a point doesn't count, consistent with the standing discussion-post policy from earlier modules.

New unit: market structures — pure (perfect) competition

- Four basic market structures previewed: pure competition, monopolistic competition, oligopoly, and monopoly.
- Pure/perfect competition: many buyers and sellers, a homogeneous (undifferentiated) product, no brand recognition.
- Monopolistic competition: many sellers, but each has some brand recognition/product differentiation (e.g., fast-food restaurants, name-brand goods).
- Oligopoly: a market dominated by a few large firms with strong strategic interdependence (e.g., car manufacturers).
- Monopoly: a single seller controls the entire (often geographically restricted) market, typically with regulated pricing (e.g., electricity, water utilities).
- Profit-maximizing rule (general): produce where marginal revenue equals marginal cost. In pure competition specifically, price equals marginal revenue ($P = MR$), so firms produce where $P = MC$.
- This week's focus is pure competition; monopolistic competition, oligopoly, and monopoly will be covered in the following weeks.

In-class game and assignment (pure competition)

- A repeated market simulation ("jersey beverages" market game, in the course's Chapter 9 materials) — students set price and quantity each round to maximize profit under pure-competition rules, played over multiple (about ten) rounds.
- Take a screenshot of the final results at the end of the game.
- Write a roughly three-page paper titled "Pure Competition" answering: the basic assumptions of pure competition, what pricing strategy was used to maximize profit, what the resulting profits were, and what factors contributed to the market's efficiency or inefficiency (e.g., wasted or misallocated resources).
- The required screenshot must be included in the paper to receive credit; submit by the stated due date (exact date not clear in the recording — confirm on the course site).

Administrative notes

- All course materials and weekly assignment details are posted in the announcements area, as in prior weeks.
- A reminder was given that some students are not yet posting substantive discussion responses — simple replies without adding to the conversation don't satisfy the requirement.
- Questions welcome by email, consistent with the course's standing office-hours policy.